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Investor Presentation | Asia Pacific

China Autos & Shared Mobility: Autos Overview

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CHINA AUTOS & SHARED MOBILITY	
Asia Pacific	
Industry View	In-Line

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China – Autos: Overview

Tim Hsiao

Key Topics

1. China's Passenger Car Industry – 2026
2. EVs
3. Autonomous Driving
4. Policies
5. Competition
6. Global Expansion

Key Forecasts for 2026

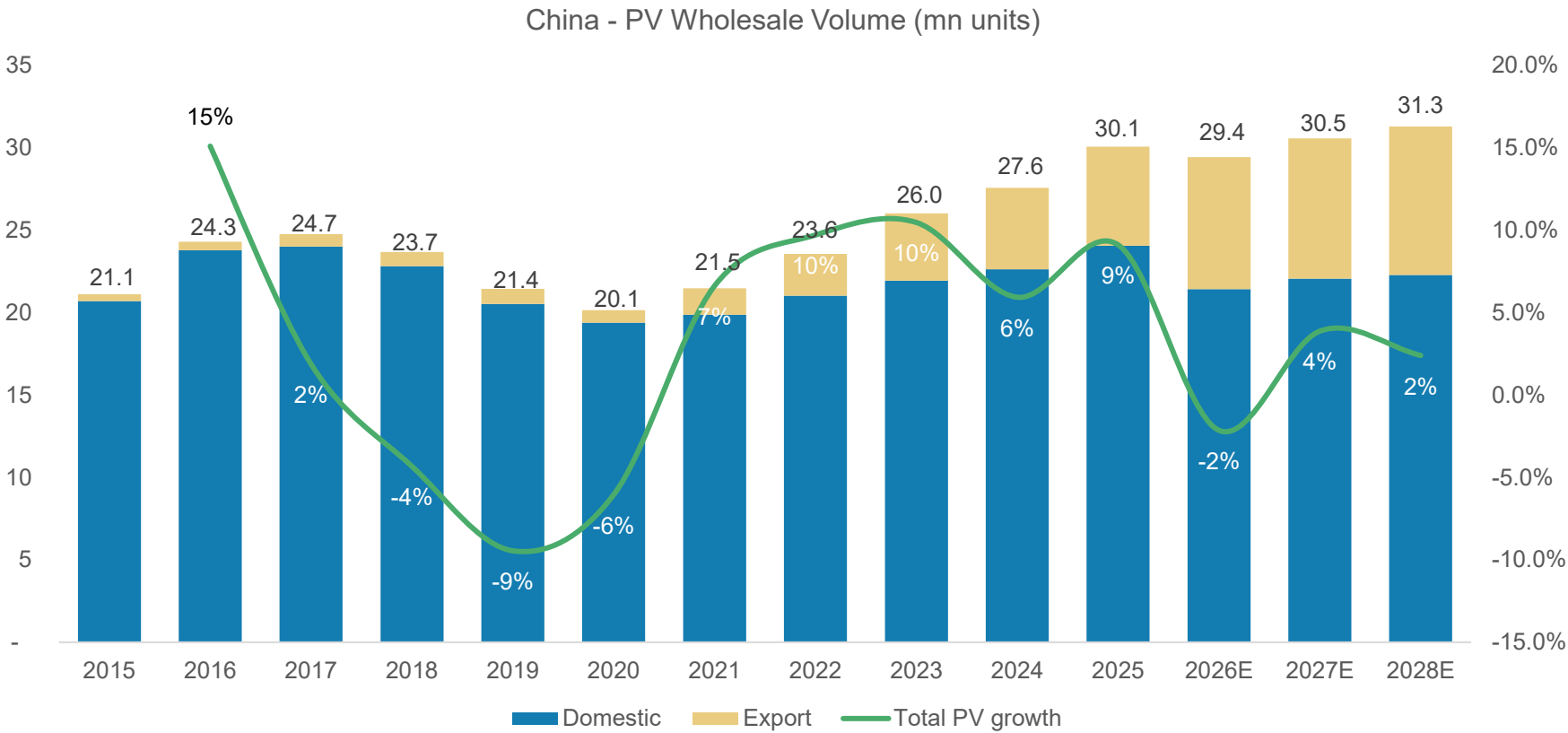
- Domestic passenger car sales to decline 11% YoY
- Export sales to grow 33% YoY and reach 8.0mn units
- NEV sales to grow 13% YoY, with sales penetration reaching 60%
- L3 AD commercialized; L4/Robotaxi deployment to accelerate
- Accelerating smart-driving/cockpit integration
- Policies – Scrappage + replacement subsidies
- Chinese brands to dominate with 70% market share

China PV wholesale	2025	1H26	2026E	2027E	2028E	China EV wholesale	2025	1H26	2026E	2027E	2028E
(k units)	30,059	12,720	29,412	30,550	31,280	(k units)	15,498	6,896	17,538	19,237	21,443
YoY	9%	-6%	-2%	4%	2%	YoY	26%	6%	13%	10%	11%
- Domestic	24,054	8,287	21,408	22,050	22,270	- Domestic	13,114	4,597	13,059	13,891	15,003
YoY	6%	-24%	-11%	3%	1%	YoY	18%	-17%	0%	6%	8%
- Export	6,005	4,432	8,005	8,500	9,009	- Export	2,385	2,300	4,480	5,346	6,440
YoY	22%	72%	33%	6%	6%	YoY	100%	128%	88%	19%	20%

Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates.

Market Size and Vehicle Structure

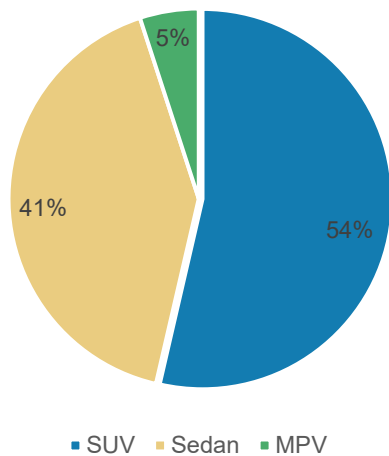
- 2026e: Wholesale 29.4mn units (-2% YoY) / Retail 21.4mn units (-11% YoY)



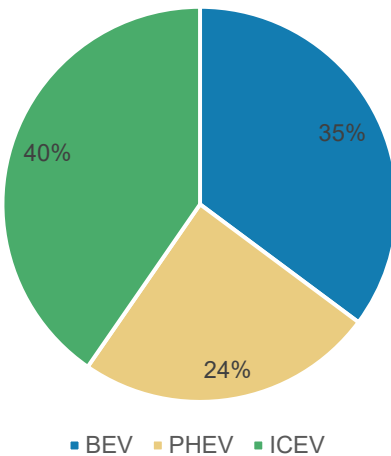
Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates. PV = passenger vehicle.

Market Size and Vehicle Structure (cont'd)

PV Sales by Vehicle Type (2026E)



PV Sales by Powertrain (2026E)



Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates. PV = passenger vehicle.

Stimulus Policies: National and Local Trade-in Subsidy Details

National trade-in stimulus	Details
Trade-in vehicle eligibility	ICEV purchased before 6/30/2013 or NEV purchased before 12/31/2019
New vehicle subsidies (Rmb)	20k per NEV, up to 12% of car ASP 15k per ICE, up to 10% of car ASP
Duration	Until Dec 31, 2026
Application method	Standardized nationwide
Local trade-in stimulus	Details
Trade-in vehicle eligibility	Any vehicles
New vehicle subsidies (Rmb)	15k per NEV, up to 8% of car ASP 13k per ICE, up to 6% of car ASP
Duration	Until Dec 31, 2026
Application method	Lottery systems in several regions

Source: Ministry of Commerce, Morgan Stanley Research.

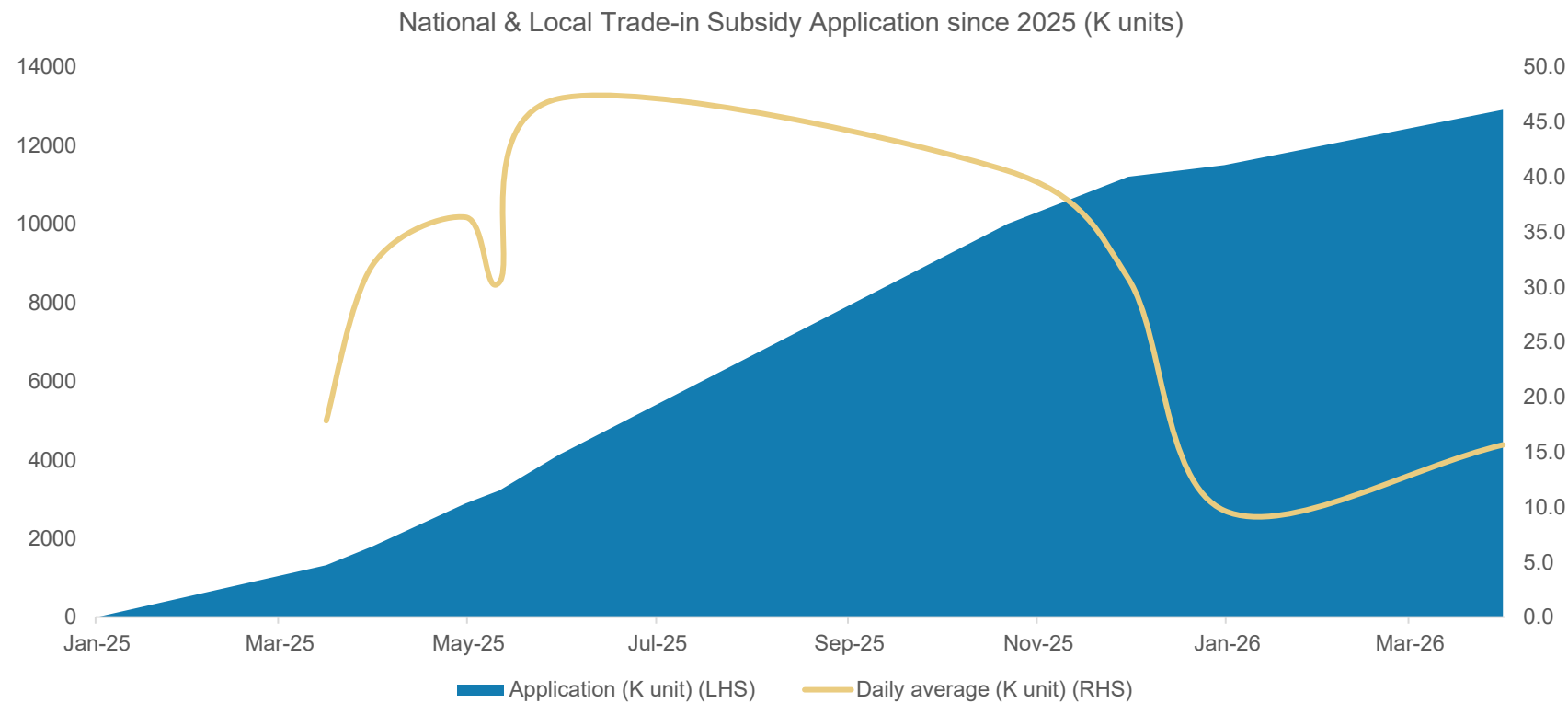
Stimulus Policies: Nationwide NEV Purchase Tax Exemption

Period	Vehicle Purchase Tax	Purchase Tax Exemption Cap
Before Sep 2014	10%	No exemption
Sep 2014 - Dec 2023	10% -> 0%	Full exemption
Jan 2024 - Dec 2025	0%	Rmb30k exemption cap
Jan 2026 - Dec 2027	0% -> 5%	Rmb15k exemption cap
Jan 2028 +	5% -> 10%	No exemption

Source: Ministry of Commerce, Morgan Stanley Research.

Policy Impact

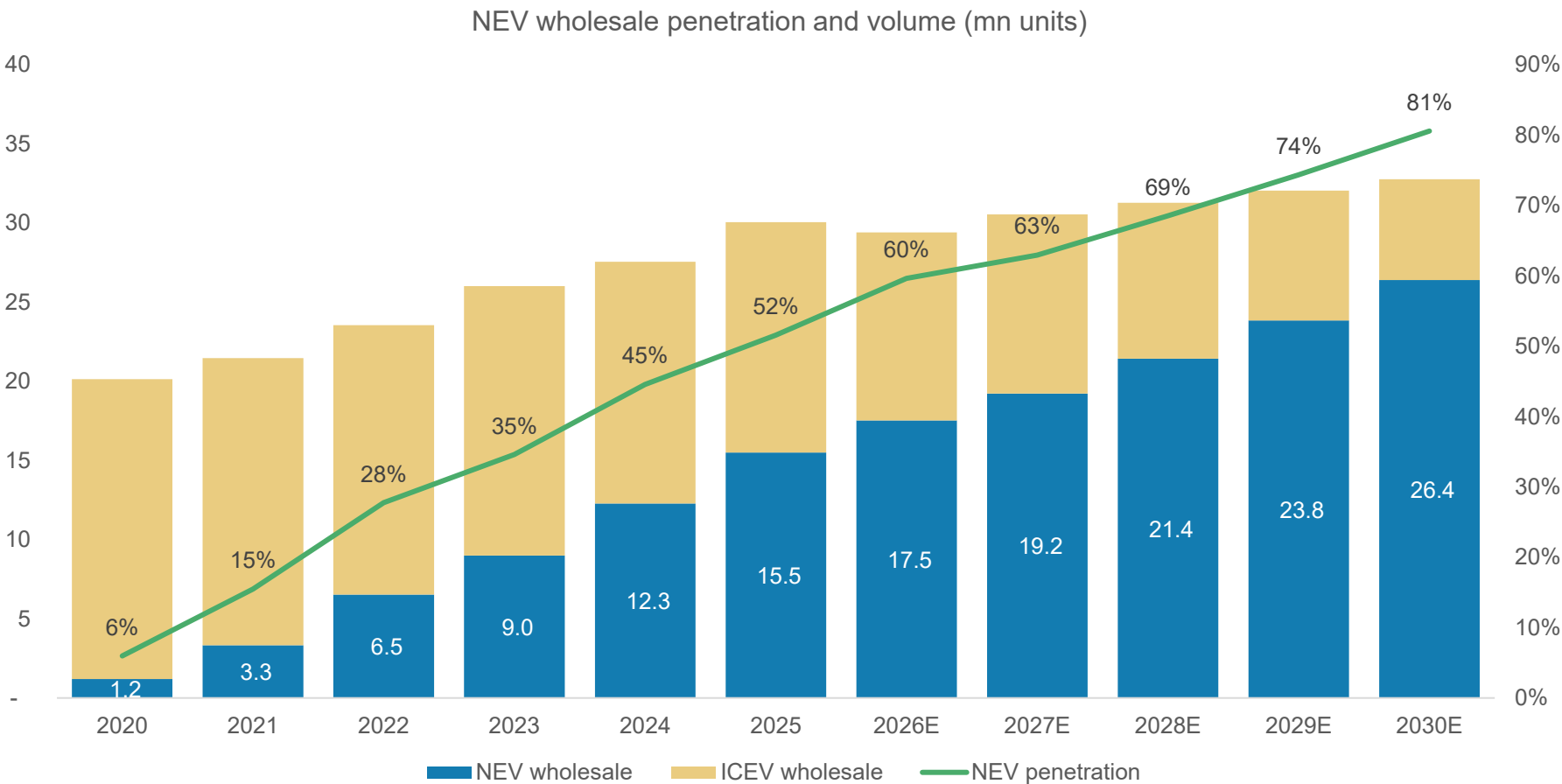
- 11.5mn new cars sold in 2025 applied for either national or local trade-in subsidies
- 1.4mn new cars sold in 1Q26 applied for either national or local trade-in subsidies



Source: Ministry of Commerce, Morgan Stanley Research.

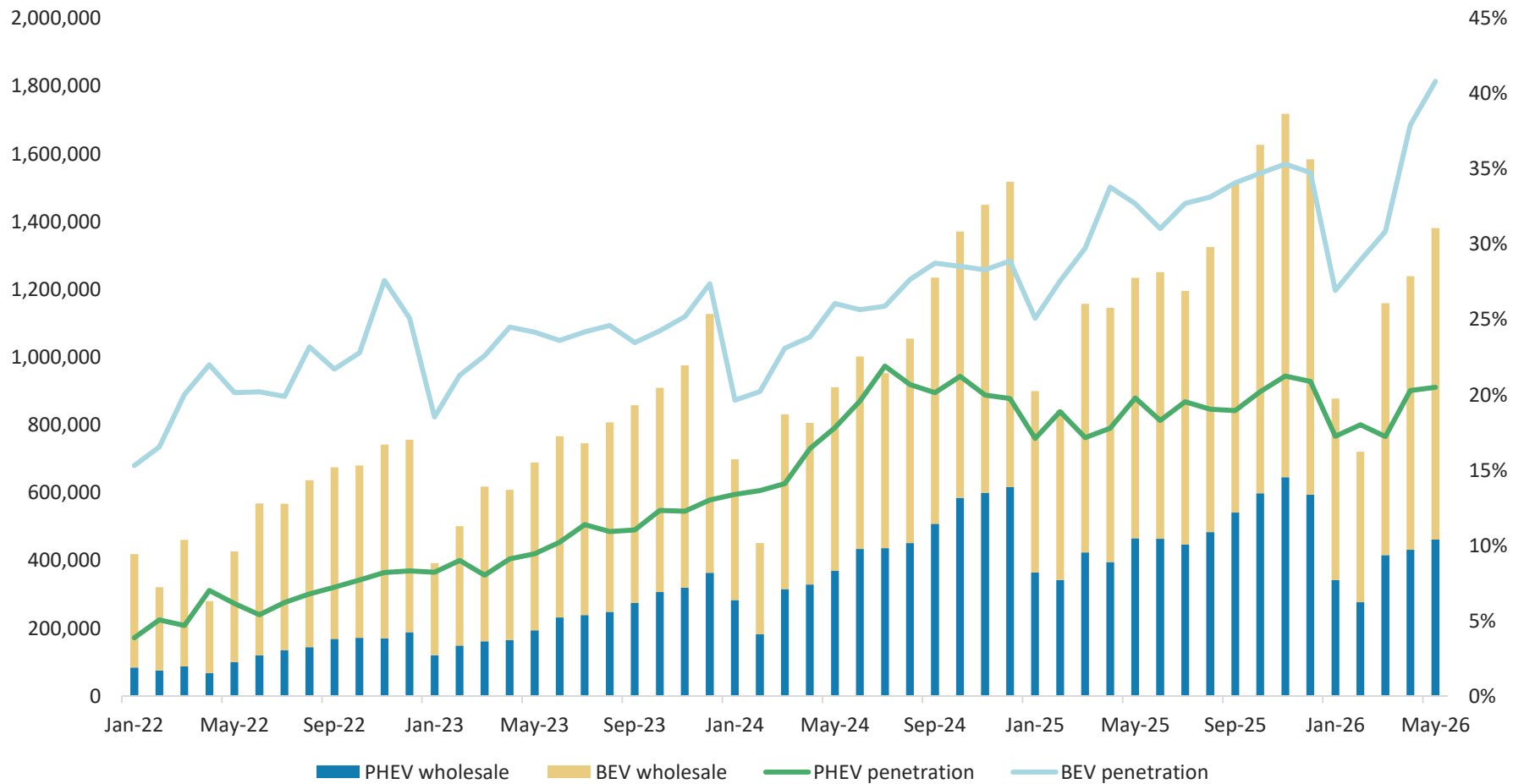
NEV Wholesale Penetration and Volume

- 2026e: NEV wholesale 17.5mn units (+13% YoY) / Penetration 60%



Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates.

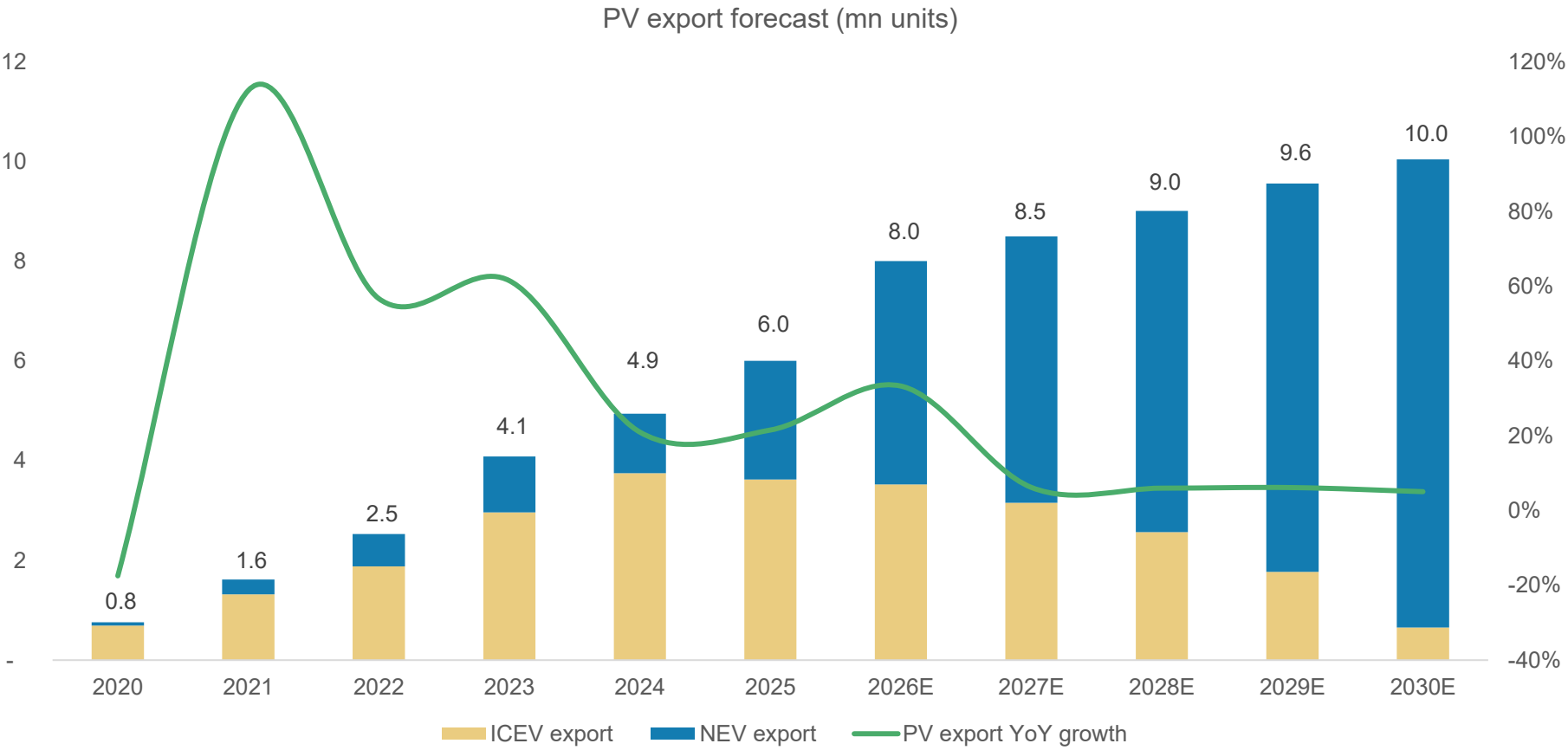
BEV/PHEV Volume and Penetration



Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates.

Export Scale

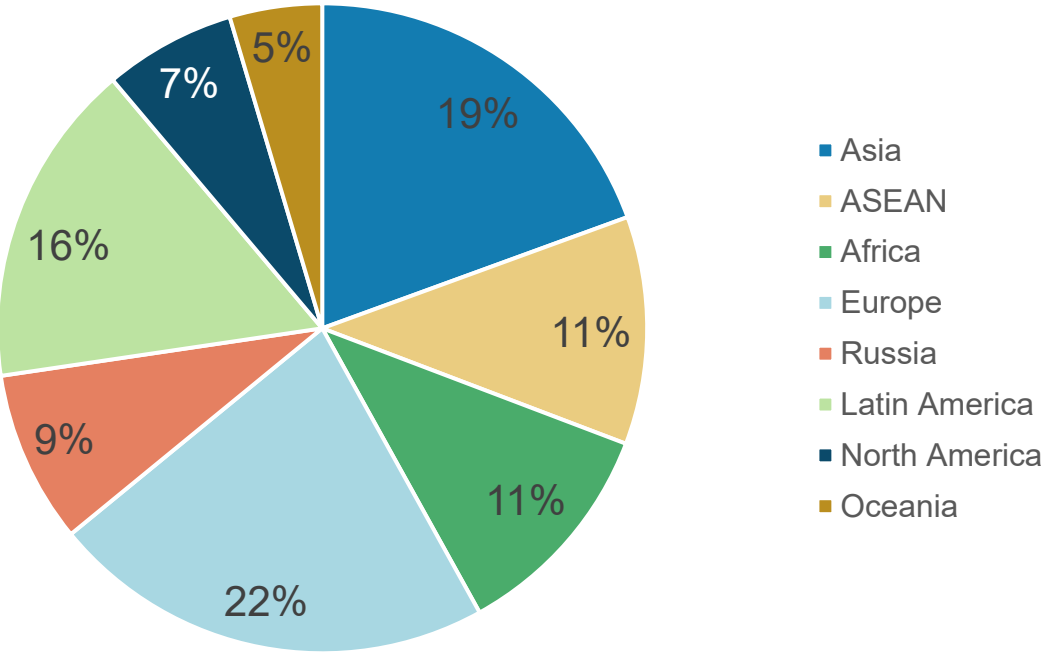
- 2026e: Exports 8.0mn units (+33% YoY), 56% from NEVs



Source: China Association of Automobile Manufacturers (CAAM), Morgan Stanley Research (E) estimates. PV = passenger vehicle.

Regional Layout

- Asia and Europe Accounted for More Than 50% of China’s Vehicle Exports in 5M26



Source: China Association of Automobile Manufacturers (CAAM), China Customs, Morgan Stanley Research (E) estimates.

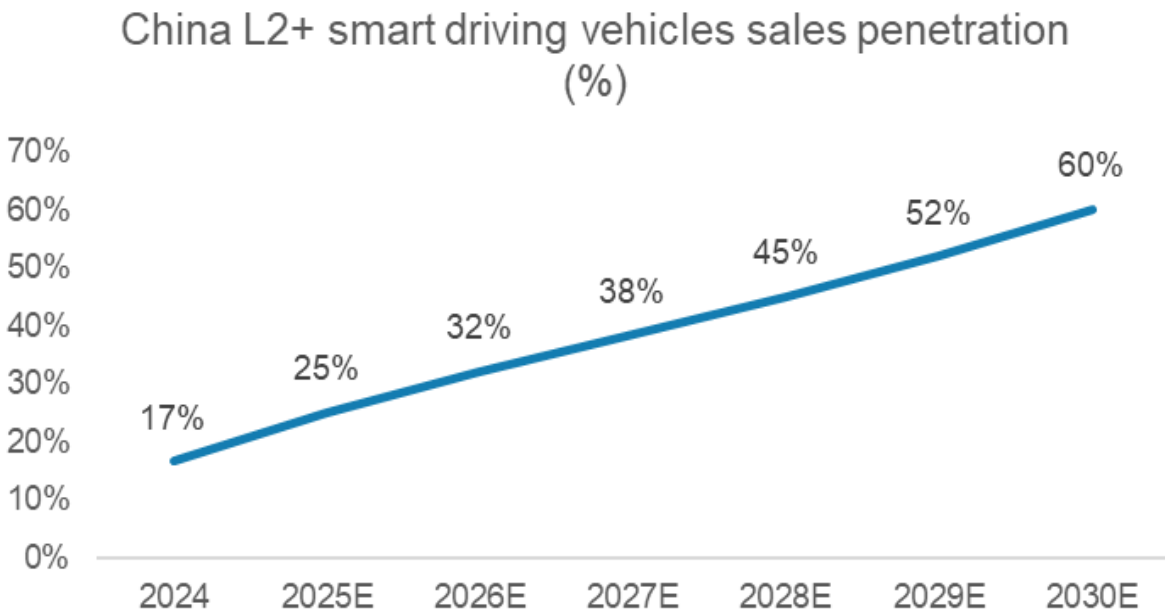
Accelerating Offshore Expansion



OEM	Location	Launch	Planned Capacity (k units)
BYD	Thailand	2024	150
	Uzbekistan	2024	50
	Brazil	2025	150
	Hungary	2026	150
	Indonesia	2026	150
	Turkey	2026	150
	Cambodia	2026	10
BYD total			810
GWM	Russia	2019	150
	Thailand	2021	80-120
	Brazil	2024	100
GWM total			350
Geely	Egypt	2012	30
	Belarus	2017	60
	Malaysia	2017	250
Geely total			340
SAIC	Indonesia	2017	150
	India	2019	80
	Pakistan	2021	100
	Vietnam	2023	60
	Thailand	2023	50
SAIC total			440
Chery	Brazil	2014	150
	Indonesia	2023	200
	Malaysia	2024	30
	Argentina	2025	100
	Thailand	2025	80
Chery total			560
GAC	Thailand	2024	50
	Indonesia	2024	100
GAC total			150
Chang'an	Thailand	2025	200
Chang'an total			200

Source: Company data, Morgan Stanley Research.

Autonomous Driving in China



Source: NE Times, Morgan Stanley Research (E) estimates.

Autonomous Driving – Competitive Landscape



Full-stack ecosystem

(In-house developed solutions)



X P E N G



Li Auto

3rd party solution providers

mobileye™



Qualcomm



Scale collaborators

(Synthesis of optimal solutions)



GEELY

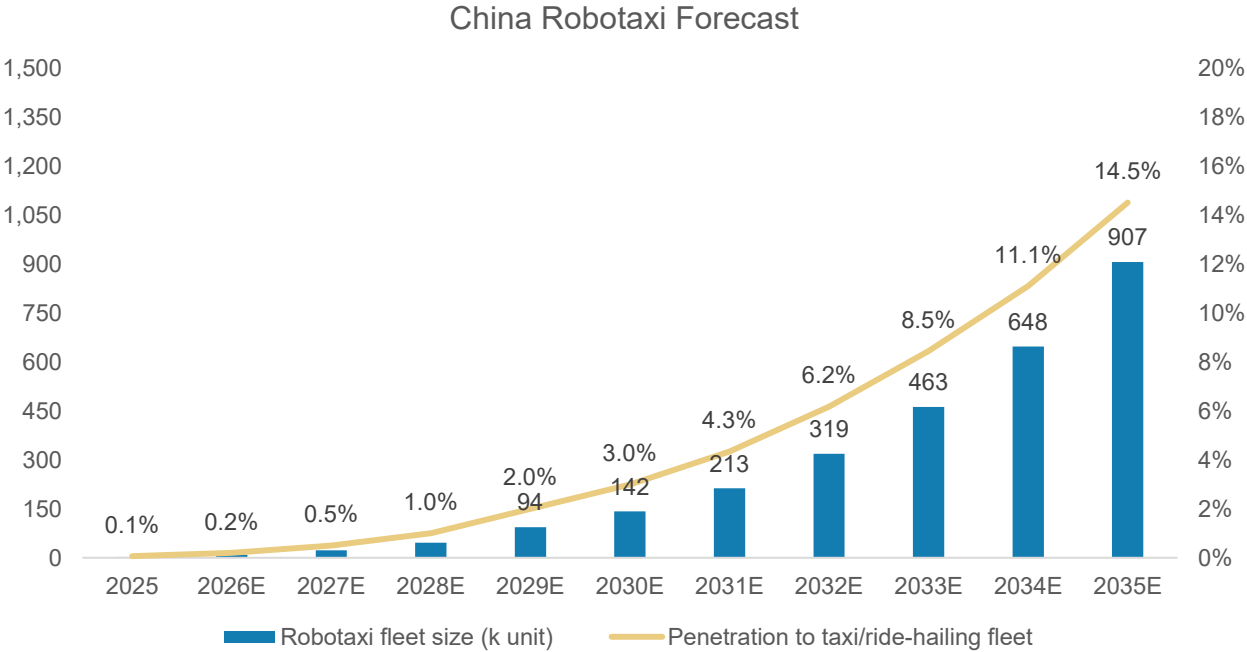


GWM



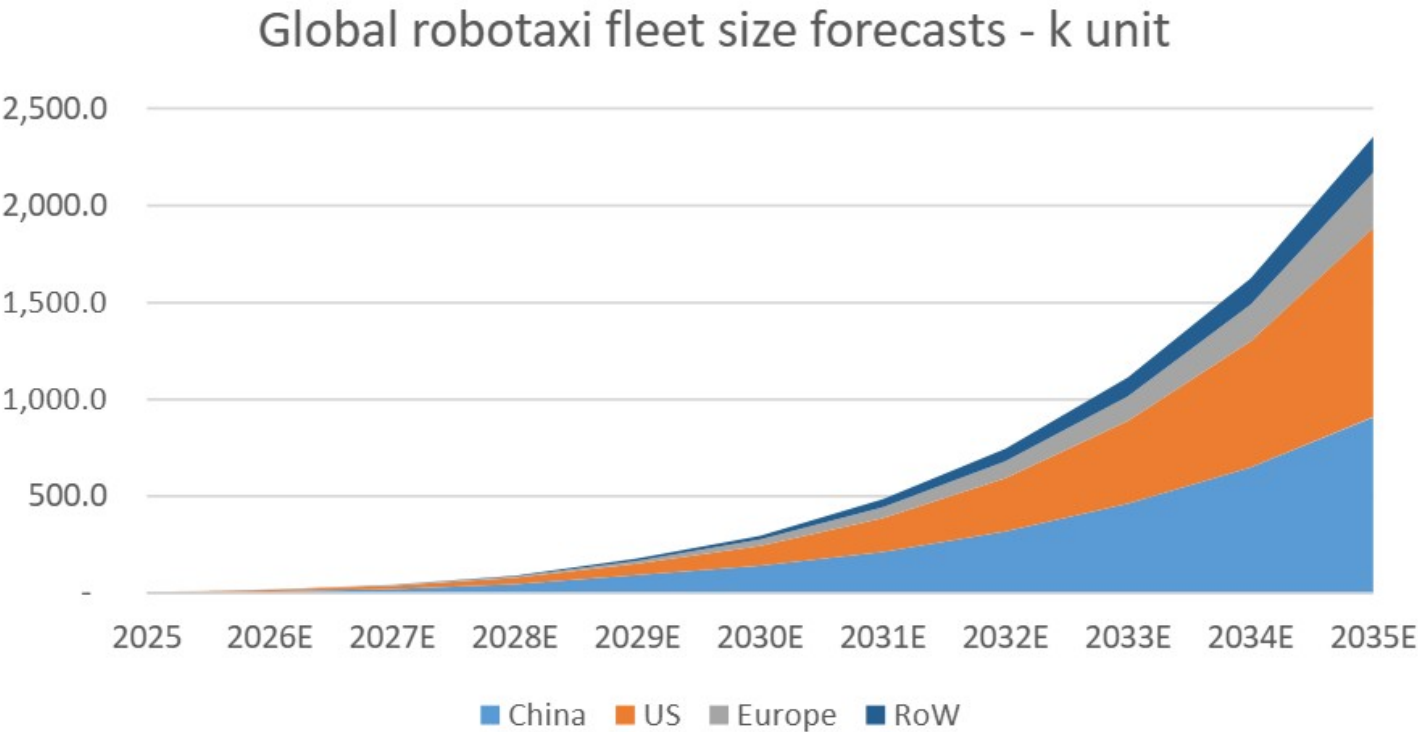
Source: Morgan Stanley Research.

Autonomous Driving and Commercialization



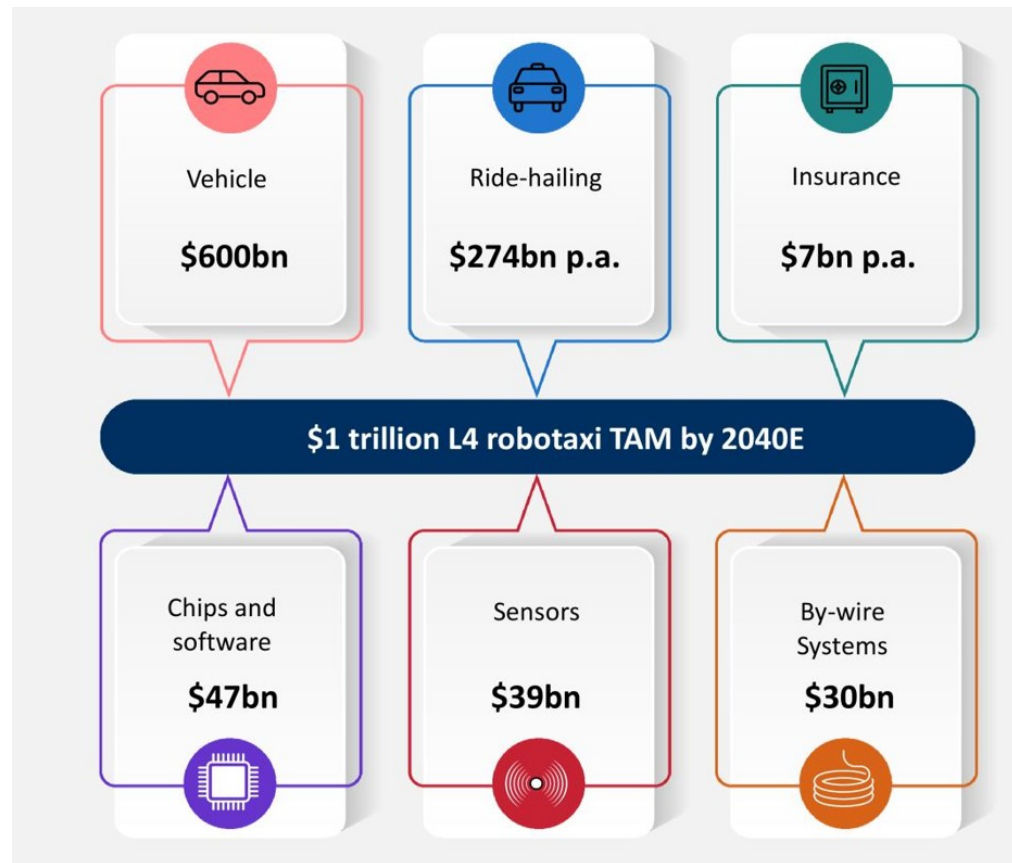
Source: [Robotaxi Diffusion – Robots, Taxis and the Trillion-Dollar Traffic Portal](#), Morgan Stanley Research (E) estimates.

Global robotaxi fleet size to approach 2.5mn units by 2035



Source: [Robotaxi Diffusion – Robots, Taxis and the Trillion-Dollar Traffic Portal](#), Morgan Stanley Research (E) estimates.

Global Robotaxi: A US\$1 Trillion Ecosystem



Source: [Robotaxi Diffusion – Robots, Taxis and the Trillion-Dollar Traffic Portal](#), Morgan Stanley Research (E) estimates.

Autonomous Driving – Competitive Landscape

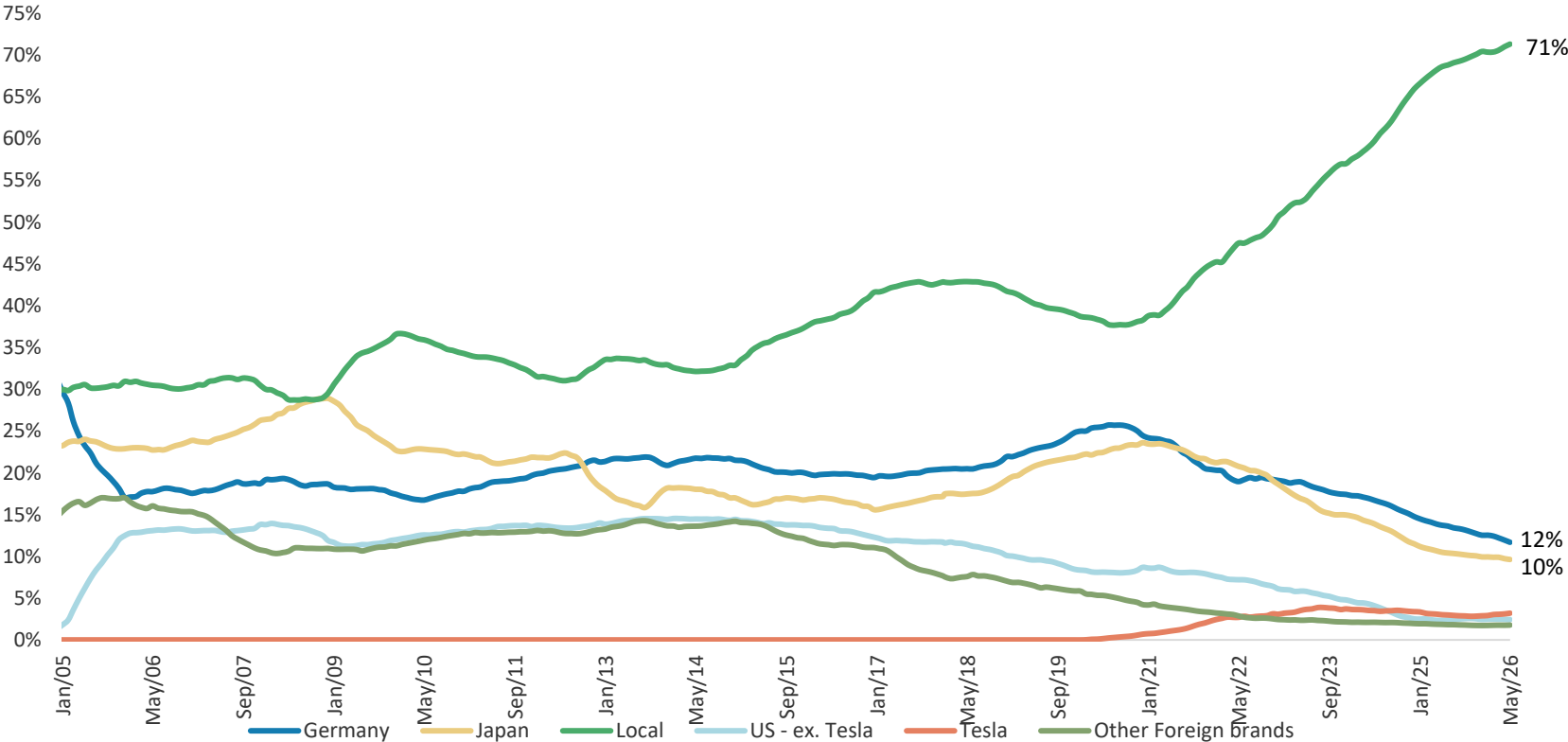


		WeRide	Pony AI
Scale of Fleet		1000+ robotaxis (1600+ including robovans, robobuses, robosweepers)	1100+ robotaxis (1300+ including robotrucks)
Key Operation Areas in China		Beijing, Guangzhou	Beijing, Guangzhou, Shanghai, Shenzhen
Unit Economics		Achieved breakeven in Abu Dhabi in 2025	Achieved breakeven in Guangzhou in 2025
Tech	AD Level	L4	L4
	Chip	2 * NVIDIA Thor (2000 TOPS)	4 * NVIDIA Drive Orin (1,016 TOPS)
	Camera	11	14
	LiDAR	4	9
	Radar	5 * Millimeter-wave	4 * Millimeter-wave
Bill of Material (BOM)		USD 35 - 40k	USD 35 - 40k
Key Progress Outside of China		Uber partnership in 15 cities including the M. East (Abu Dhabi, Dubai, Riyadh) and the EU; Grab partnership in ASEAN	Uber partnership in the M. East; Dubai RTA partnership

Source: Company data, Morgan Stanley Research (E) estimates.

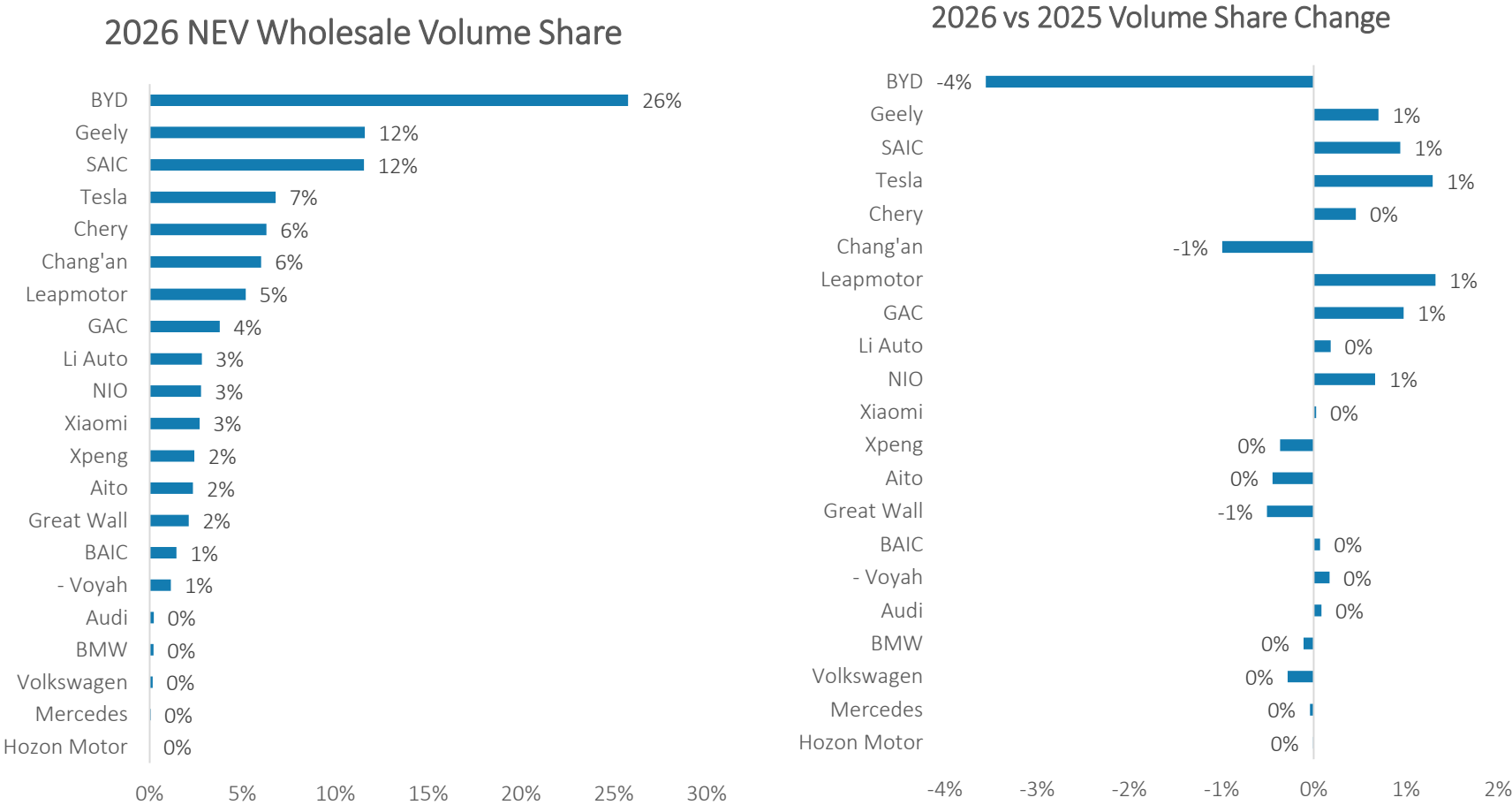
Local Brands Continue to Gain Share From Foreign Brands, Though at a Slower Pace

PV market share by brand origin - TTM



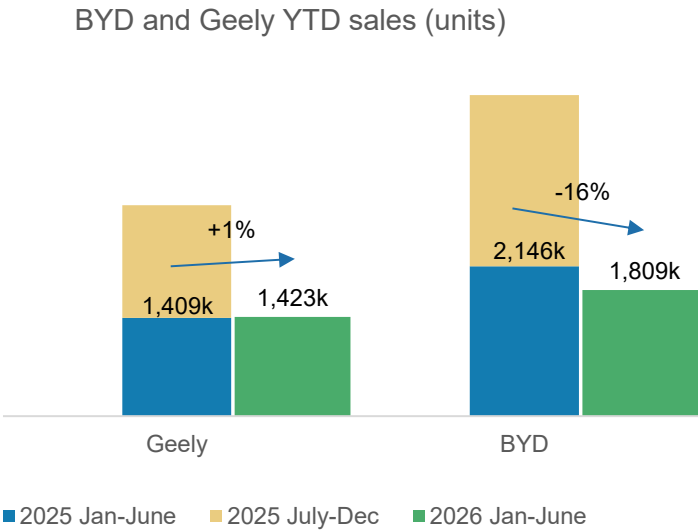
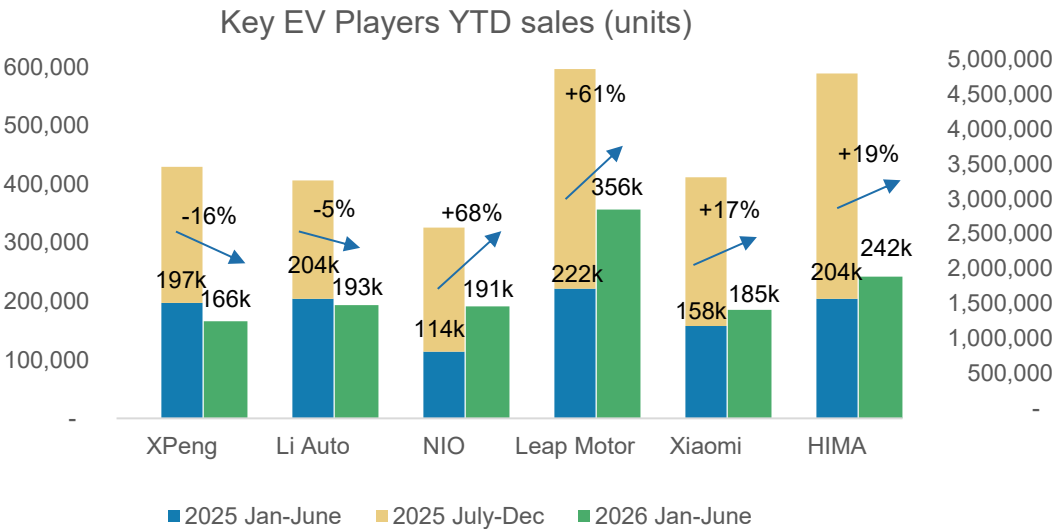
Source: CPCA, Morgan Stanley Research.

NEV Market Competition



Source: CPCA, Morgan Stanley Research.

Key EV Players' YTD Sales



Source: Company data, Morgan Stanley Research.

Key Trends, Catalysts, Risks

Key Trends

- Anti-involution – Shifting competitive landscape from price competition to value-driven differentiation
- Tech – Advancements toward AI-enabled software-defined vehicles
- Globalization – Chinese OEMs and their complete supply chain are accelerating overseas expansion

Key Catalysts

- Falling YoY comparison base
- New model cycle kicking in from mid-July
- Implementation of L3/L4 autonomous driving regulations and licensing frameworks
- Emerging upside risk to the overseas sales

Key Risks

- Subdued domestic demand and intensifying industry price competition
- Geopolitical uncertainties and potential disruptions to overseas sales
- Autonomous driving regulatory challenges

New Models Launch Pipeline

OEM	Brand	Model	Engine Type	Type	Est. Launch Date
SAIC	IM Motor	L5	BEV	Sedan	2026
		LS5	BEV	SUV	2026
GAC	Aion	R2	BEV	SUV	2026
BAIC	Stelato	G9	BEV	SUV	2H26
		Off-road	TBD	SUV	2H26
		MPV	TBD	MPV	2H26
		R8	TBD	SUV	2H26
		S8	TBD	SUV	2H26
Changan	Avatr	G618	TBD	SUV	2026
		07L	EREV/BEV	SUV	3Q26
	Nevo	Q06	EREV/BEV	SUV	3Q26
Chery	Luxeed	RX	BEV	SUV	2H26
		R9	TBD	SUV	2H26
		S7 GT	TBD	Sedan	2H26
	Exeed	EX6	PHEV	SUV	2H26
Dongfeng	Voyah	Zhuiguang S	BEV	SUV	2H26
		Taishan X8	TBD	SUV	2026
		FE	TBD	SUV	2026
		Everest	TBD	MPV	2026
Seres	AITO	M5 facelift	PHEV/BEV	SUV	2H26
		M7 facelift	PHEV/BEV	SUV	2H26
		M9 facelift	PHEV/BEV	SUV	2H26
JAC	Maextro	V800	EREV	MPV	3Q26
		V680	EREV	MPV	3Q26
		R800	TBD	SUV	2H26
		Off-road	TBD	SUV	2H26

Source: Company data, CPCA, Morgan Stanley Research.

New Models Launch Pipeline (cont'd)

OEM	Brand	Model	Engine Type	Type	Est. Launch Date
Geely	Galaxy	Galaxy TT	BEV	Sedan	3Q26
		Off-road	PHEV	SUV	2026
	Lynk	07GT Lynk 20	PHEV BEV	Sedan SUV	3Q26 2026
GWM	Haval	H7	ICEV/PHEV	SUV	2026
	WEY	TBD	PHEV	SUV	2026
		TBD	PHEV	SUV	2026
		TBD	PHEV	Sedan	2026
		TBD	PHEV	Sedan	2026
	ORA	TBD	BEV	Sedan	2026
		TBD	BEV	SUV	2026
		TBD	BEV	SUV	2026
		TBD	BEV	Coupe	2026
	Tank	Tank 300	PHEV	SUV	2026
		Tank 700 Hi4 Z	PHEV	SUV	2026
		Tank 800 Hi4 Z	PHEV	SUV	2026
BYD	BYD	Sealion 08	BEV	SUV	2H26
		Qin MAX	BEV	Sedan	2H26
		Great Han	BEV	Sedan	3Q26
	Denza	Z7	PHEV/BEV	Sedan	2026
	Fangchengbao	Super 9	BEV	Sedan	2026

Source: Company data, CPCA, Morgan Stanley Research.

New Models Launch Pipeline (cont'd)

OEM	Brand	Model	Engine Type	Type	Est. Launch Date
Li Auto	Li Auto	i7	BEV	SUV	2026
		i9	BEV	SUV	2026
		L6 facelift	EREV	SUV	3Q26
		L7 facelift	EREV	SUV	2026
		Mini MEGA	BEV	MPV	2026
NIO	NIO	ES8 five seater	BEV	SUV	3Q26
XPeng	XPeng	G9L	EREV/BEV	SUV	2H26
	MONA	L03	EREV/BEV	SUV	3Q26
		L05	EREV/BEV	SUV	2H26
Leap Motor	Leap Motor	A05	BEV	Sedan	3Q26
		C seires	EREV/BEV	MPV	2026
		D99	EREV/BEV	MPV	2026
Xiaomi	Xiaomi	YU9	EREV	SUV	2H26
		SU9	EREV	Sedan	2H26

Source: Company data, CPCA, Morgan Stanley Research.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.63
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.78
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.94
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb6.89
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb4.89
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.04
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.95
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.49
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb21.51
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb9.94
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.97
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.75
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb64.80
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb23.18
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb91.31
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.49
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.83
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb23.12
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb51.00
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$49.98
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb82.77
Keboda (603786.SS)	O (01/17/2024)	Rmb39.79
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$26.62
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.28
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$3.82
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.06
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb53.95
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.11
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb71.98
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.10
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb41.60
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.75
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.51
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb86.98

BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$83.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.41
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.17
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.00
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.52
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.13
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.42
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.18
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$47.20
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$37.40
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.93
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.74
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$50.80
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$12.95

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* Historical prices are not split adjusted.